

Cubewise Skill Test Level 1

Background

CW Water is an international corporation with selling products in 84 different countries. 60% of sales are from North America and the rest is distributed across the world. Sales come from a variety of accounts which are from a combination of retail and on premise channels. CW Water sells six different SKU's (330mL 6-pack, 500mL loose, 500mL 6-pack, 1.0L loose, 1.0L 6-pack, 1.5L loose) each selling at different prices.

You are asked to help plan the CW Water global budget for 2025. Ultimately, we want to know where we project net income to be in 2025. First of all you need to lay out what type of information is needed to start the planning process.

Q&A - Initial Planning

1. What type of information would you want/need to start preparing the budgeting process? How would you go about gathering such information?
2. Are there any other factors that you would want to consider to build your projections?

Source Data

You have received the following projections from the sales teams from the three sales divisions: US-East, US-West, and International. Each tab represents monthly unit sold projections for 2025 by customer. Remember that you will be presenting this file so be sure to format everything so it is easy to use/explain and readable.

Challenge 1

Creating a TM1 model based on the projection data

- Create multi-dimensional cube(s) that contains all the data in each individual tab. Make sure the data in the cube is "clean" as there may have been some typos in the projections.
- Make sure the data can be dynamically analysis by month, year, customer, channel, region, etc.
- Creating consolidation of MTD, QTD, YTD, QTR, Total year etc for period based analysis
- Creating a dynamic analysis template, with the filter by division or customer name, and region

Challenge 2

Creating a template as a starting point for an income statement

- Create a summary template, with the subtotals monthly and annual volume by region and channel.
- Calculate the overall total monthly seasonality of the sales volume across individual SKU and all SKUs (i.e., % of volume sold each month).

- Calculate total revenue by month. Use the selling prices by SKU and by channel in the “Prices” tab.
- Calculate the average overall revenue/case across all SKUs.

Challenge 3

Building expenses model into the income statement

- We pay a rebate of 10 cents/bottle for each 500mL **bottle** (24 bottles in a case) sold at 7-Eleven and a rebate of 95 cents/case for all **cases** sold at Safeway.
- We currently have a fleet of 1,000 CW Water delivery vans. Each van averages 10,234 miles/month. You have not yet received the projections from Logistics that give you the cost of gasoline for each month. Leave a place to plug in the monthly cost/gallon for gasoline.
- What are some other expenses you can think of in running the business? Insert placeholders for these expenses.

Challenge 4

Presentation (60 mins)

- Sales Model
- Cost/Expense Model
- Income Statement Report Template
- Backend Design

Q&A - Review

1. Do you have any additional thoughts about how to create a more accurate budget for 2025? (i.e., is there anything additional information that you may find helpful?)
2. At the end of 2025, you see that total cases sold are 100 million cases as opposed to the initial plan of 80 million. How would you go about understanding the variance?
3. You also notice that revenue per case is \$5 lower than what you had in the budget. How would you go about understanding this variance?